Manual Identification of Malaysia's Statutory Consumption-Tax Shocks

AI-assisted narrative pass over the C1 / C0 deployment evidence

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1 Purpose

This note documents a focused, **AI-assisted manual identification** of Malaysia's *statutory broad consumption-tax changes* — the value-added / sales-and-service tax in its successive Malaysian forms — run directly over the evidence our deployment pipeline already surfaced. It is the consumption-tax counterpart to the CIT and PIT seeds, and it deliberately follows the spirit of the narrative-identification literature (Romer and Romer 2010): close reading of source documents, with the LLM pipeline as a retrieval-and-extraction aide, not as the adjudicator.

The method mirrors our `/manual-analysis` protocol. The pipeline (C1 measure identification, C0 act aggregation) pre-screens candidate measures; a human reads the surfaced evidence and makes the final call on *what counts as an event*, *how scattered surface forms consolidate*, and *whether each change is exogenous*. Claude pattern-matches against the source text; the researcher confers meaning.

We identify by the **concept** — a broad statutory tax on consumption / value added / sales of goods and services — using whichever surface terms Malaysia employs (GST, SST, sales tax, service tax). Unlike a Western-style standing VAT, Malaysia's broad consumption tax changed *regime* twice in the corpus window: the Sales Tax (1972) and Service Tax (1975) baseline was replaced by the Goods and Services Tax (GST) in 2015, which was then itself abolished and replaced by a reinstated Sales and Service Tax (SST) in 2018. **Regime introductions and abolitions count as shocks**, which is why this instrument carries more structural events than a simple rate path.

We do **not** drive identification from C0. As Section 2 notes, C0 fragments the GST measures across many clusters and never bridges the English/Malay surface forms, so it cannot serve as the event layer. We retrieve from the full C1 pool (1036 measures, pre-relevance-cut) and consolidate by hand.

> ! Important
>
> The exogenous/endogenous column in Table 3 is a **preliminary suggestion with its supporting quote, pending expert adjudication**. It is not a research finding. The whole point of this pass is that a human adjudicates these calls; see the open questions in Section 6.

2 What C1 surfaced, and what it missed

A keyword scan of the full C1 pool returns **78 measures** touching the consumption-tax regex, the bulk of them GST surface forms (English and Malay), spanning 2001–2022. A broader semantic sweep over all 1036 measures — reading every consumption-tax surface form and then the anchor source documents directly — confirms **four** headline statutory events and rules out any further broad-rate change across 1980–2023.

Recall here is **better than for CIT**: C1 surfaced all four events as measures. What needed manual recovery was finer detail — the reinstated-SST rate schedule (Sales Tax 5% / 10%, Service Tax 6%) and the SST commencement passages, plus a Bank Negara corroboration of the 2011 service-tax rise whose source document is not in the chunk store.

Table 1: **Recall scorecard**. How each headline consumption-tax event fared through C1 measure identification and C0 act aggregation, and which supporting detail had to be recovered by reading the source documents directly.

Stage	Outcome
Keyword scan (C1 pool, n=1,036)	93 keyword hits over the consumption-tax regex; GST dominates (44 hits), SST/sales-tax/service-tax the remainder.
Semantic sweep (all surface forms + source docs)	Confirmed four headline statutory events: service tax 5->6 (2011), GST introduction at 6% (2015), GST abolition (2018), SST reintroduction (2018). No further broad-rate change found 1980-2023.
C1 measure identification	Surfaced all four events as measures (good event-level recall, unlike CIT).
Recall miss - SST reintro rate detail (YA2018)	Sales Tax (5%/10%) & Service Tax 6% rate detail (ECON Report 2019 ch12) and SST-effective-date passages (BNM AR 2018 ch6/16) not surfaced; recovered by reading the source docs.
Recall miss - service-tax corroboration (2010)	BNM Annual Report 2010 service-tax quote absent from country_chunks (doc not chunked); recovered as recovered_evidence.
Pre-corpus / out-of-scope tracks	Product-specific sales-tax changes (liquor/cigarettes 15->20/25% Budget 2001; 1997/98 crisis exemptions) and GST base/exemption tweaks (2016/2017) tracked but excluded as narrow carve-outs, not standard-rate shocks. Sales Tax (1972) & Service Tax (1975) predate the corpus as baseline.
C0 act aggregation	Not used as the event layer (fragments GST across many clusters; EN/BM not bridged), consistent with the CIT/PIT passes.

The retrieval lesson echoes the CIT and PIT passes: a consumption-tax change is maximally relevant *because it is a rate or regime change*, however briefly the documents discuss it. An instrument-targeted recall pass plus human reading is needed rather than trust in discussion volume or in C0′s clustering.

3 The headline statutory consumption tax

Reading the consolidated evidence yields a clean structural narrative: a **service-tax rise from 5% to 6%** (2011), the **introduction of GST at 6%** (2015, replacing the SST regime), the **abolition / zero-rating of GST** (2018), and the **reinstatement of SST** (2018). Table 2 gives the identified events; Figure 1 traces the standard consumption-tax rate and marks the two regime transitions.

Table 2: **Headline consumption-tax events**. Identified statutory broad consumption-tax changes, with the budget that announced each and the year it took effect. SST is a multi-rate regime (Sales Tax 5%/10%, Service Tax 6%), so its reinstatement carries no single 'to' rate.

Event	Change	From -> To	Effective	Announced	Source surface form / doc
V1	Service tax rate increase	5% -> 6%	2011 (1 Jan)	Budget 2011 (Oct 2010)	Budget Speech 2011; BNM AR 2010
V2	GST introduction (replacing SST)	0% -> 6%	2015 (1 Apr)	Budget 2014 (Oct 2013)	Budget Speech 2014; ECON Report 2015
V3	GST abolition / zero-rating	6% -> 0%	2018 (1 Jun)	PH reform (2018)	Budget Speech 2019; ECON Report 2019
V4	SST reinstatement (Sales 5/10%, Svc 6%)	0% -> SST	2018 (1 Sep)	PH reform (2018)	BNM AR 2018; ECON Report 2019

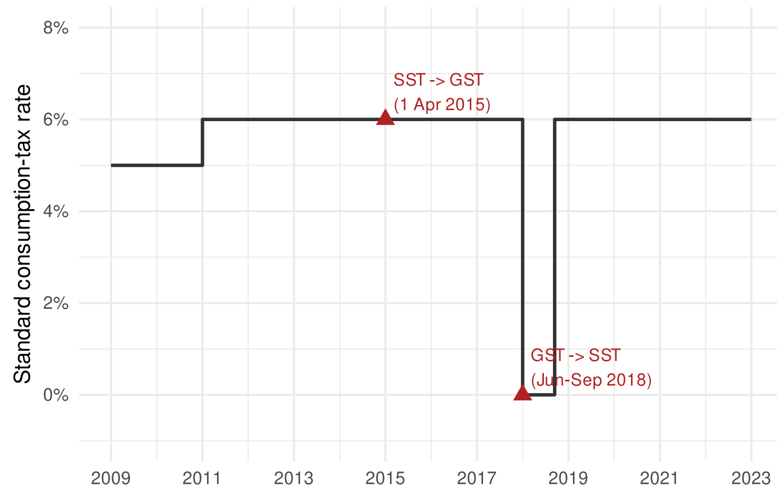

Figure 1: **Standard statutory consumption-tax rate, Malaysia 2009-2023**. The general service-tax rate (pre-2015), the GST standard rate (2015-2018), and the reinstated Service Tax rate (post-2018). The two regime transitions - SST -> GST (2015) and GST -> SST (2018) - are marked; the SST sales-tax component (5% / 10%) is not a single standard rate and is omitted from the line.

4 Motivation evidence and preliminary exogeneity

Each headline event carries motivation language in the corpus. Table 3 pairs each event with the most diagnostic quote and a **preliminary** exogenous/endogenous read. The methodologically interesting separation is the contrast between the **2015 GST introduction** — framed as a long-run structural reform to broaden the base and reduce oil-revenue dependence — and the **2018 abolition** — a campaign-promise, cost-of-living measure whose classification is genuinely contestable.

Table 3: **Motivation evidence, pending adjudication**. The stated rationale for each headline event and a preliminary exogenous/endogenous read. These are suggestions anchored in the quoted text, not settled classifications; the exogeneity calls are the object of expert adjudication (see Section 6).

Event	Motivation quote (source text)	Preliminary read	Adjudication
V1	"the Government proposes that the rate of service tax be increased from 5% to 6% … will also increase revenue collection" (Budget Speech 2011 / BNM AR 2010) - revenue-raising.	FALSE	PENDING
V2	"Recognising the need to broaden the tax base and reduce dependence on oil revenue, the Government will implement the GST on 1 April 2015" (Economic Report 2015) - long-run structural reform.	TRUE	PENDING
V3	"As promised in the Pakatan Harapan Manifesto, GST was Zero-Rated on 1 June 2018 … to lessen the tax burden, reduce price [pressure]" (Budget Speech 2019 / Economic Report 2019) - campaign-promise / cost-of-living.	ambiguous	PENDING
V4	"reintroduction of Sales Tax and Service Tax (SST) … the less burdensome SST … benefit … RM17 billion	ambiguous	PENDING

5 Other consumption-tax tracks

For completeness, Table 4 lists consumption-tax-adjacent changes that were *excluded* from the headline series as narrow carve-outs rather than broad standard-rate shocks. They are tracked so the exclusion is auditable.

Table 4: **Excluded consumption-tax tracks**. Product-specific sales-tax changes and GST base/exemption tweaks that are not changes to the broad standard rate, plus the pre-corpus baseline.

Track	Identified items	Note
Product-specific sales tax	Liquor 15%->20% and cigarettes 15%->25% (Budget 2001); 1997/98 crisis exemptions on food, medication, paper	Excise-like carve-outs on selected goods, not the general rate
GST base / exemption tweaks	Zero-rating expansions and exemption streamlining (Budgets 2016, 2017)	Base changes within the GST regime, not a standard-rate shock
Pre-corpus baseline	Sales Tax Act 1972 (5%/10%); Service Tax Act 1975 (6%)	Predates the 1980 corpus start; the standing baseline before V1

6 Open adjudication questions

Three calls are genuinely the researcher's to make; they were flagged at the `/identify-vat` PAUSE point and adjudicated at the freeze.

Resolved at freeze (2026-06-26)

1. **Regime-replacement grain.** The two regime swaps are treated **asymmetrically**, following the corpus's own framing. The **2015 SST -> GST** swap is **one row** (`MY-CONSUMPTION-02`, GST introduction), folding the simultaneous SST abolition into the launch (both dated 1 April 2015). The **2018 GST -> SST** swap is **two rows** (`MY-CONSUMPTION-03` abolition + `MY-CONSUMPTION-04` reinstatement), because the corpus dates them three months apart (GST zero-rated 1 June; SST effective 1 September) with an interim tax holiday.
2. **2015 GST exogeneity.** Frozen as **TRUE (exogenous)** on the long-run structural-reform framing ("broaden the tax base and reduce dependence on oil revenue"), carried alongside — never replacing — C2b's downstream label.
3. **2018 abolition / SST exogeneity.** Frozen as **ambiguous**, preserving the contestable campaign-promise / cost-of-living framing as the object of expert adjudication.

The narrative above is retained as the reasoning record behind these calls.

1. Grain of the two regime replacements

The 2015 swap is one act here and the 2018 swap is two. The alternative is full symmetry — either split 2015 into an SST-abolition row plus a GST-introduction row (five rows total), or collapse the 2018 swap into a single "GST -> SST regime change" row (three rows total). The asymmetric default tracks how the documents themselves date and emphasise each transition.

2. Exogeneity of the 2015 GST introduction

The corpus frames GST as a long-run structural reform to broaden the base and reduce oil-revenue dependence — pulling toward exogenous. The countervailing reading is fiscal-consolidation-driven (still exogenous, different reason) given the deficit context. The preliminary read is TRUE; the reason label is the live question.

3. Exogeneity of the 2018 abolition and SST return

The identical 2018 package is framed as an ideological campaign promise *and* as cost-of-living relief that raises household purchasing power. The first reading leans exogenous (long-run political), the second endogenous (countercyclical). Adjudicating this is the methodologically interesting contribution, not overhead.

7 Structured frozen dataset

The narrative identification above is the human-curated content; the machine-readable form is frozen by the `/identify-vat` skill to `data/validated/MY_CONSUMPTION_shocks.qs`, following the shared contract in `docs/phase_1/tax_shock_schema.md` (one row per announced act x tax type, with a `member_chunks` manifest linking each shock to its corpus chunks and a mandatory recall scorecard). That frozen file — not this notebook's tribbles — is the reference input the deployment pipeline binds and feeds to C2a/C2b for motivation and exogeneity (`tar_read(tax_shocks)`).

Section 2 above is the recall scorecard for this pass. The frozen dataset and its per-shock member-chunk manifest render below once the skill has produced it.

Table 5: **Frozen consumption-tax shock dataset**. Structured statutory events as stamped by the `/identify-vat` skill (selected columns). The preliminary exogeneity read is pending expert adjudication and is carried alongside - never replaced by - C2b's downstream label.

shock_id	act_label	direction	rate_from	rate_to	Delta pp	Effective	Preliminary exo.
MY-CONSUMPTION-01	Service tax rate increase 5% to 6% (Budget 2011)	Hike	5	6	1	2011	FALSE
MY-CONSUMPTION-02	Goods and Services Tax (GST) introduction at 6% (Budget 2014)	Hike	0	6	6	2015	TRUE
MY-CONSUMPTION-03	GST abolition / zero-rating 6% to 0% (Pakatan Harapan reform, 2018)	Cut	6	0	−6	2018	ambiguous
MY-CON-	Sales	Hike	0	NA	NA	2018	am-

Table 6: **Member-chunk manifest**. Number of corpus chunks attributed to each shock, and how many were recovered (present in the corpus but not surfaced by C1). The recovered chunks drive the downstream C2a re-run.

shock_id	act_label	Member chunks	Recovered chunks
MY-CONSUMPTION-01	Service tax rate increase 5% to 6% (Budget 2011)	1	0
MY-CONSUMPTION-02	Goods and Services Tax (GST) introduction at 6% (Budget 2014)	26	0
MY-CONSUMPTION-03	GST abolition / zero-rating 6% to 0% (Pakatan Harapan reform, 2018)	8	0
MY-CONSUMPTION-04	Sales and Service Tax (SST) reintroduction (2018)	7	3

References

Romer, Christina D., and David H. Romer. 2010. "The Macroeconomic Effects of Tax Changes: Estimates Based on a New Measure of Fiscal Shocks." *American Economic Review* 100 (3): 763–801.